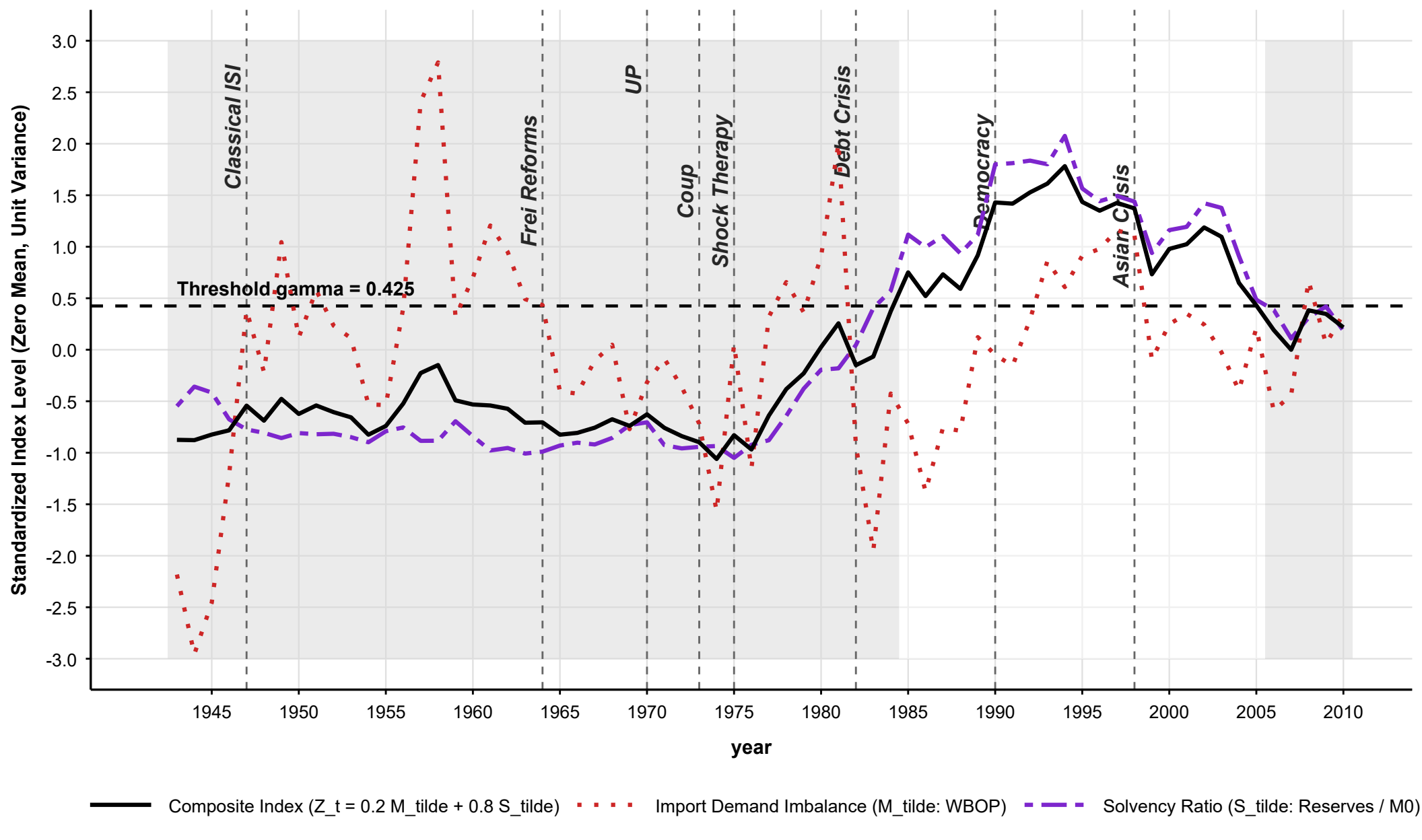

Standardized Index Level (Zero Mean, Unit Variance)
3.0
2.5
2.0
1.5
1.0
0.5
0.0
-0.5
-1.0
-1.5
-2.0
-2.5
-3.0
Classical ISI
Frei Reforms
UP
Coup
Shock Therapy
Debt Crisis
Democracy
Asian Crisis
Threshold gamma = 0.425
1945
1950
1955
1960
1965
1970
1975
1980
1985
1990
1995
2000
2005
2010
year
Composite Index (Z_t = 0.2 M_tilde + 0.8 S_tilde)
Import Demand Imbalance (M_tilde: WBOP)
Solvency Ratio (S_tilde: Reserves / M0)